

Meridian Systems Ltd

Minutes of the Quarterly Board Meeting

Held at the Bellhaven office on Tuesday 18 February 2025, commencing 09:30 and concluding 13:05.

1. Attendance

Name	Role	Present
R. Alderton	Chair, non-executive	Yes
S. Vahid	Chief Executive	Yes
N. Okoro	Chief Financial Officer	Yes
T. Brannigan	Chief Technology Officer	Yes
L. Marsden	Non-executive	Yes
P. Duraisamy	Non-executive	No, apologies
H. Cole	Company Secretary	Yes, minuting

The Chair confirmed a quorum. P. Duraisamy submitted written comments on item 5, which were read into the record.

2. Minutes of the previous meeting

The minutes of the meeting of 12 November 2024 were approved without amendment. Two matters arising were noted: the Coriston lease review, now closed, and the supplier concentration analysis, carried forward to item 6.

3. Financial review

N. Okoro presented results for the quarter ended 31 December 2024.

Measure	Q4 2024	Q4 2023	Change
Revenue	9.42m	8.15m	+15.6%
Gross margin	41.2%	43.8%	-2.6 pts
Operating profit	0.88m	0.94m	-6.4%
Cash at bank	3.10m	2.41m	+28.6%
Headcount at quarter end	148	131	+13.0%

The margin decline was attributed principally to component costs on the Helix 3000 line, where a sole-source pressure sensor rose 22 percent following a supplier consolidation. N. Okoro confirmed the increase had not been passed to customers because list prices are fixed under framework agreements until the end of 2025.

L. Marsden asked whether the framework agreements contained an indexation clause. N. Okoro undertook to confirm and report back; recorded as action A3.

The board noted the cash position was ahead of plan, largely because capital expenditure on the Underwood depot fit-out had slipped a quarter rather than been reduced.

4. Operations and technology

T. Brannigan reported that firmware 4.2 had completed field validation across 340 units with no critical defects, and would move to general release in March 2025. Two moderate defects concerning timestamp handling after battery replacement remained open and are scheduled for 4.2.1.

The board discussed the single-source dependency on the pressure sensor raised under item 3. T. Brannigan confirmed a qualified second source exists but requires a board revision with an estimated eight-month lead time including re-certification.

5. Strategy: Underwood depot expansion

S. Vahid proposed expanding the Underwood field services depot to serve the eastern region directly rather than through a subcontractor, at an estimated capital cost of 1.6m over eighteen months.

P. Duraisamy's written comments questioned whether the projected utilisation assumed contract wins that were not yet committed. S. Vahid acknowledged that two of the four anticipated contracts were at proposal stage.

After discussion, the board declined to approve the full proposal at this meeting and asked for a revised paper with a downside case assuming only committed contracts.

6. Resolutions

- R1. The Q4 2024 management accounts were received and approved.
- R2. The board approved a second-source qualification programme for the pressure sensor, with a budget of 240,000 and a target completion of Q4 2025.
- R3. The board deferred the Underwood depot expansion pending a revised paper, to be presented at the Q2 meeting.
- R4. The board approved the revised employee handbook, Revision 4, with effect from 1 March 2025.
- R5. The board approved an increase to the audit fee of 8 percent for the 2025 financial year.

7. Action items

Ref	Action	Owner	Due
A1	Revised Underwood paper with downside case	S. Vahid	Q2 meeting
A2	Second-source programme plan and milestones	T. Brannigan	31 March 2025
A3	Confirm indexation clauses in framework agreements	N. Okoro	14 March 2025
A4	Supplier concentration analysis, carried from Nov 2024	N. Okoro	Q2 meeting
A5	Circulate handbook Revision 4 to all staff	H. Cole	28 February 2025

8. Any other business

L. Marsden noted that the board had not reviewed the cyber insurance position since 2023 and asked that it be added to the Q2 agenda. The Chair agreed.

9. Next meeting

The Q2 2025 meeting will be held at the Coriston office on Wednesday 21 May 2025 at 09:30.